Zebra Technologies
Third Quarter 2022 Results

November 1, 2022

Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's offerings and competitors' offerings, and the potential effects of emerging technologies and changes in customer requirements. The effect of global market conditions and the availability of credit and capital markets volatility may have adverse effects on Zebra, its suppliers and its customers. In addition, natural disasters, man-made disasters, public health issues (including pandemics), and cybersecurity incidents may have negative effects on our business and results of operations. Our ability to purchase sufficient materials, parts, and components, and our ability to provide services, software, and products to meet customer demand could negatively impact our results of operations and customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions may also have an impact on results. Foreign exchange rates, customs duties and trade policies may have an effect on financial results because of the large percentage of our international sales. The impacts of changes in foreign and domestic governmental policies, regulations, or laws, as well as the outcome of litigation or tax matters in which Zebra may be involved are other factors. The success of integrating acquisitions could also affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations and increase the volatility of our financial results. Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

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Anders Gustafsson, CEO

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Q3 Financials and Q4 Outlook
Nathan Winters, CFO

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Advancing Our Enterprise Asset Intelligence Vision
Anders Gustafsson, CEO

04
Q&A
Anders Gustafsson, CEO
Nathan Winters, CFO
Joe Heel, Chief Revenue Officer

Third Quarter 2022 P&L Highlights [(1)]

- Sales and earnings results unfavorable to outlook due to supply chain challenges and deferred projects from large customers
- Organic Net Sales (3.2)%
  - Supply chain challenges related to persistent component shortages for certain products and disruption in the transition to our new N.A. distribution center in the Chicago area
  - Deferred projects from select large customers in North America
  - Mobile computing sales decline; cycled two large customer deployments in N.A. and EMEA in the prior year period
  - Global growth to small and medium size customers
  - Double-digit growth in printing and data capture
  - Double-digit growth in Asia Pacific and Latin America
- Adjusted EBITDA Margin of 21.1%, decreased 60bps year-over-year
  - 70bps higher adjusted gross margin due to favorable business mix and lower premium supply chain costs; partially offset by unfavorable FX
  - Operating expense deleveraging due to sales decline
- Non-GAAP Diluted EPS $4.12, (9.5)% year-over-year




[(1)] Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

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Third Quarter P&L Summary[1]

In millions, except per share data	3Q22	3Q21	Change
Adjusted Net Sales	$1,378	$1,436	(4.0)%
Organic Net Sales Growth[2,3]			(3.2)%
Adjusted Gross Profit	$631	$648	(2.6)%
Adjusted Gross Margin	45.8%	45.1%	+70bps
Adjusted Operating Expenses	$356	$354	+0.6%
Adjusted EBITDA	$291	$312	(6.7)%
Adjusted EBITDA Margin	21.1%	21.7%	(60)bps
Non-GAAP Diluted EPS	$4.12	$4.55	(9.5)%

SEGMENT ORGANIC SALES GROWTH[2,3]

- EVM Segment (8.8)%
- AIT Segment +12.4%

REGIONAL ORGANIC SALES GROWTH[2,3]

- North America (9)%
- EMEA (2)%
- Asia Pacific +20%
- Latin America +10%

EBITDA MARGIN DECREASE

- Higher Adjusted Gross Margin due to favorable business mix and lower premium supply chain costs; partially offset by unfavorable FX
- Increased Adjusted Operating Expense due to recently acquired business, partly offset by lower incentive compensation expense

(1) Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results
(2) Assumes constant FX to prior year period
(3) Excludes revenue from acquisitions for the 12 months following each respective acquisition date

Cash Flow & Balance Sheet Highlights

Cash Flow: YTD 3Q22

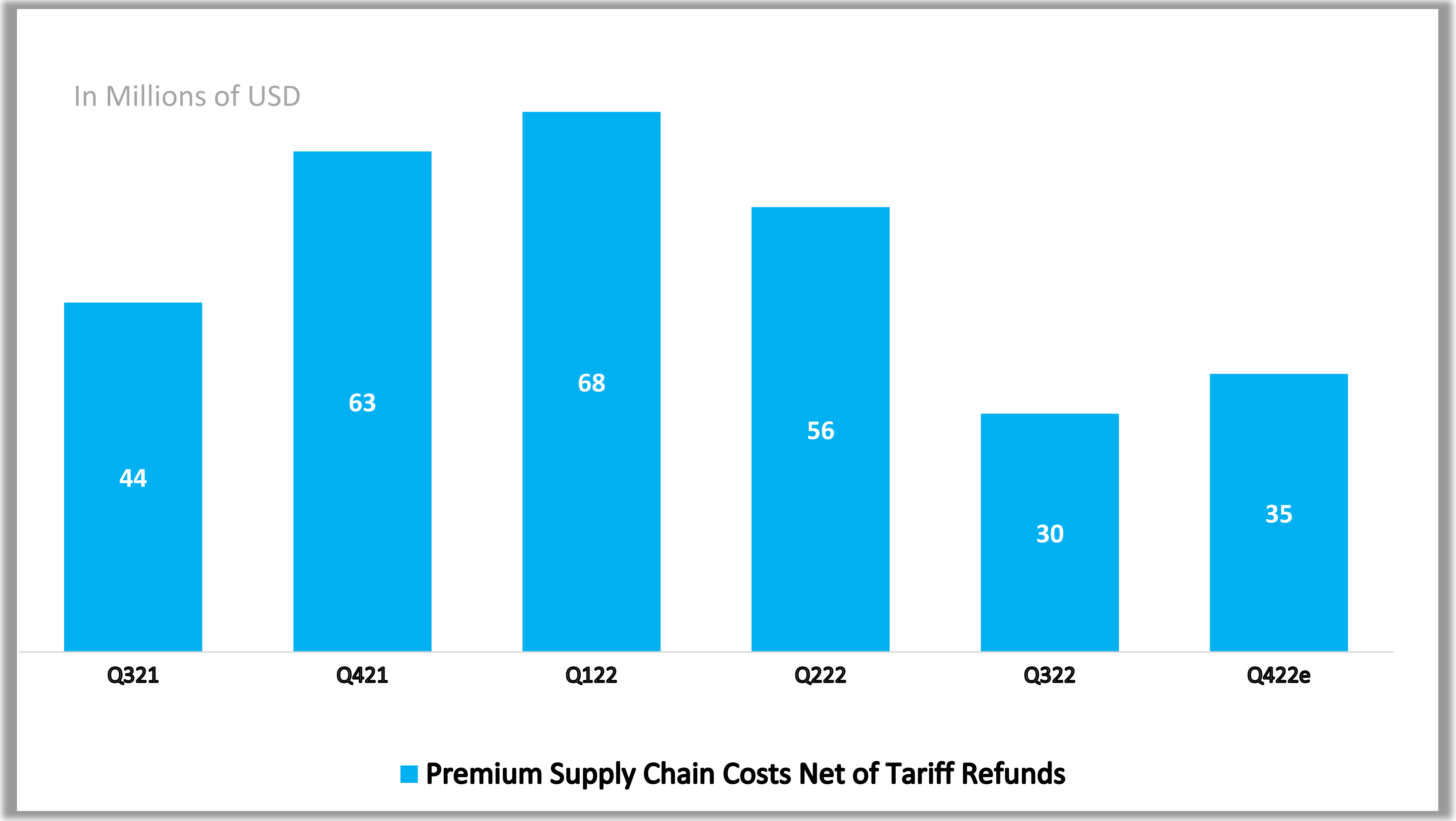
- $170M free cash flow, $628M lower YoY
  - Higher use of working capital due to elevated inventory and timing of sales
  - Higher incentive compensation payment due to exceptional 2021 performance
  - $90M previously-announced settlement payments
- $878M business acquisitions; $12M venture investments
- $655M share repurchases
- $1,175M net debt borrowings

Strong Liquidity Position: 3Q22

- $81M cash & cash equivalents
- $2,170M total debt on balance sheet
- Net-debt-to-adjusted-EBITDA ratio of 1.7x
- > $1.2B capacity under revolving credit facility

Global Premium Supply Chain Costs

Abating as Component Supply and Freight Capacity Improves



Estimate
~ $190M FY22
Impact,
Net of Price
Increase

Note: Premium supply chain costs calculation compared to pre-pandemic 2019 baseline

Outlook & Assumptions

4Q22

- Adjusted net sales growth[1] ~ (2)% to +1% YoY
  - approximately 2 point additive impact from recently acquired businesses
  - approximately 4 point negative impact from foreign currency changes
- Adjusted EBITDA margin ~ 22-23%
- Non-GAAP diluted EPS ~ $4.50 to $4.80
- *~ $35M gross profit impact from premium supply chain costs from pre-pandemic baseline*

FY22

- Adjusted net sales growth[1] expected to be >1% YoY (based on Q4 outlook)
- Adjusted EBITDA margin ~ 21-22% (based on Q4 outlook)
- Free cash flow ≥ $400M; ~ $135M settlement payments
- Capital expenditures ~ $65-$75M
- Depreciation ~ $65-$70M and Amortization ~ $130-$140M
- Stock-based compensation expense ~ $90-$100M
- Cost of debt (pre-tax) ~ 3-4%
- Non-GAAP tax rate ~ 17-18%
- *Approximately $190M gross profit net impact from premium supply chain costs from pre-pandemic baseline (based on Q4 outlook)*

(1) Refers to impact to growth rate for the 12 months following acquisition date; Matrox Imaging was acquired on June 3, 2022; antuit.ai on Oct. 7, 2021; Fetch Robotics on Aug. 9, 2021; and Adaptive Vision on May 17, 2021

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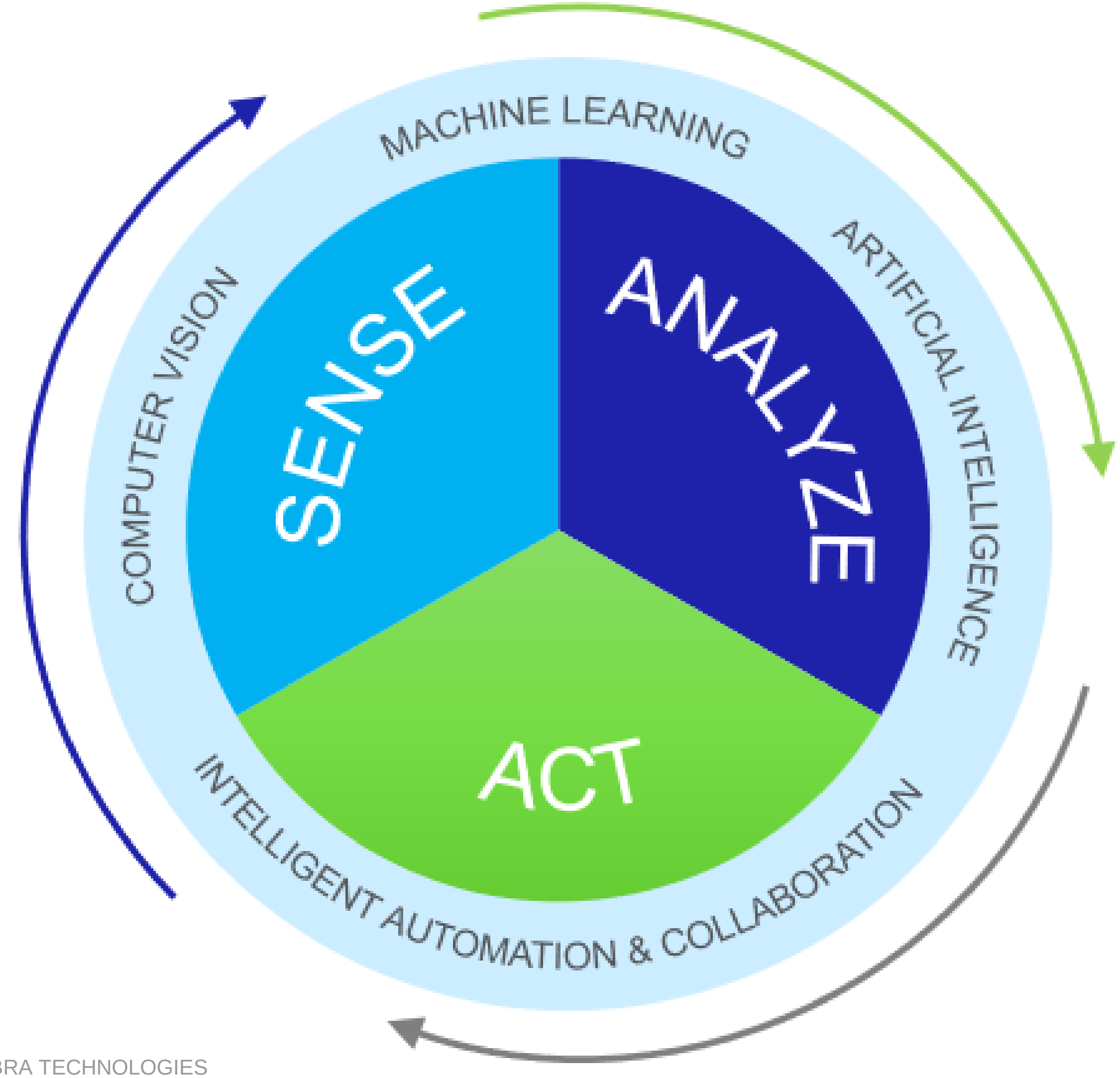
Zebra Digitizes & Automates the Front Line of Business

Transforming Workflows: Purpose-Built Hardware + Software + Cloud Analytics

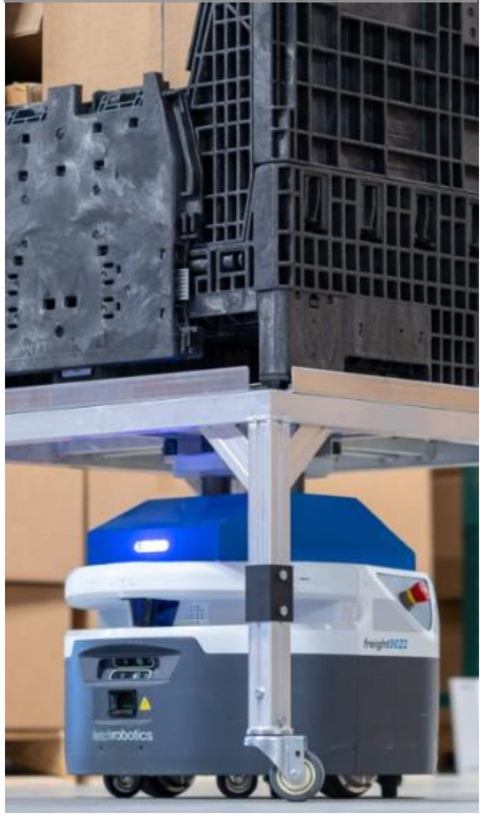
Real-Time Actionable Insights



Zebra Optimizes Workflows for the On-Demand Economy

Trusted Strategic Partner to Industry Leaders

Retail & Ecommerce



- Smarter Omni-Channel
- Optimized Inventory
- Customer Experience

Transportation & Logistics

- Warehouse Automation
- Real-Time Visibility
- Last Mile Delivery

Manufacturing

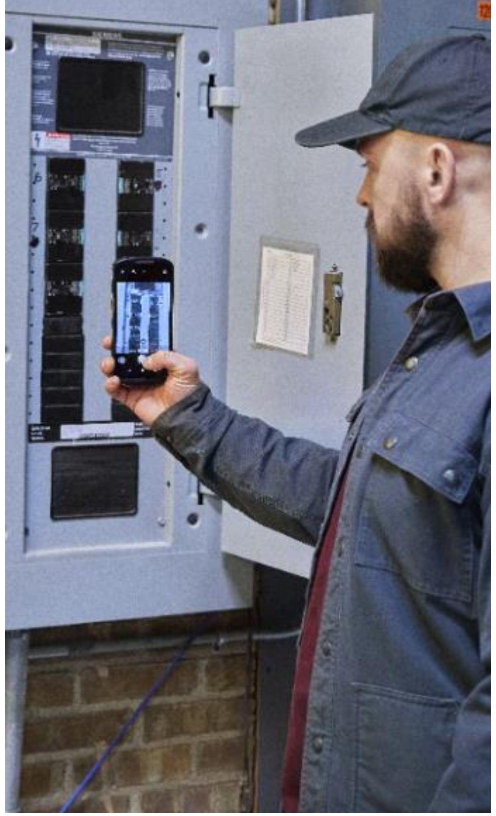
- Quality Assurance
- Track & Trace

Healthcare

- Clinical Mobility
- Positive Patient ID
- Real-Time Locationing

Other Markets

Includes Government, Education, Hospitality



- Connect Who & What Matters
- Regulatory Compliance

Summary Actions To Address Current Challenges

SITUATION	ACTIONS
Supply Chain Challenges: N.A. Distribution Center Transition	• Organizational changes and reallocation of resources to drive improved focus and execution in our supply chain function • Initiated specific initiatives with our supply chain partners to improve operations • Extending the planned transition of our North America distribution center
$150-200M Elevated Product/Component Inventory	• Working with manufacturers to draw down inventory to normalized levels with appropriate strategic stock of critical components (i.e. semiconductors and memory) • Reduced inventory build related to the N.A. distribution center transition and supplies manufacturing expansion
Macroeconomic Headwinds	• Restructuring initiatives to drive operational efficiencies, including rationalizing real estate footprint • Targeted price increases in EMEA and Latin America to address currency dynamics and inflationary impacts

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Q&A

Appendix

Use of Non-GAAP Financial Information

This presentation contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Adjusted EBITDA margin” “Non-GAAP diluted net income,” “Non-GAAP diluted earnings per share,” “free cash flow,” “organic net sales,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this presentation for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra's operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year period. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation (Unaudited)

	Three Months Ended October 1, 2022		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	9.8 %	(9.0)%	(4.0)%
Adjustments:			
Impact of foreign currency translation (1)	2.6 %	3.0 %	2.9 %
Impact of acquisitions (2)	— %	(2.8)%	(2.1)%
Consolidated Organic Net sales growth	12.4 %	(8.8)%	(3.2)%

	Nine Months Ended October 1, 2022		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	2.8 %	2.6 %	2.8 %
Adjustments:			
Impact of foreign currency translation (1)	1.5 %	1.8 %	1.6 %
Impact of acquisitions (2)	— %	(2.0)%	(1.5)%
Consolidated Organic Net sales growth	4.3 %	2.4 %	2.9 %

(1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, inclusive of the Company's foreign currency hedging program.

(2) For purposes of computing Organic Net sales growth, amounts directly attributable to the acquisitions of Adaptive Vision, Fetch, Antuit, and Matrox are excluded for twelve months following their respective acquisitions.

GAAP to Non-GAAP Gross Margin Reconciliation

(In millions)
(Unaudited)

	Three Months Ended					
	October 1, 2022			October 2, 2021		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
GAAP						
Reported Net sales [1]	$ 415	$ 963	$ 1,378	$ 378	$ 1,058	$ 1,436
Reported Gross profit [1]	179	449	628	165	481	646
Gross Margin	43.1 %	46.6 %	45.6 %	43.7 %	45.5 %	45.0 %
Non-GAAP						
Adjusted Net sales	$ 415	$ 963	$ 1,378	$ 378	$ 1,058	$ 1,436
Adjusted Gross profit [2]	180	451	631	166	482	648
Adjusted Gross Margin	43.4 %	46.8 %	45.8 %	43.9 %	45.6 %	45.1 %

	Nine Months Ended					
	October 1, 2022			October 2, 2021		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
GAAP						
Reported Net sales [1]	$ 1,255	$ 3,023	$ 4,278	$ 1,221	$ 2,945	$ 4,160
Reported Gross profit [1]	528	1,411	1,939	571	1,394	1,959
Gross Margin	42.1 %	46.7 %	45.3 %	46.8 %	47.3 %	47.1 %
Non-GAAP						
Adjusted Net sales	$ 1,255	$ 3,023	$ 4,278	$ 1,221	$ 2,945	$ 4,166
Adjusted Gross profit [2]	529	1,415	1,944	573	1,398	1,971
Adjusted Gross Margin	42.2 %	46.8 %	45.4 %	46.9 %	47.5 %	47.3 %

(1) Consolidated results include corporate eliminations related to business acquisition purchase accounting adjustments that are not reported in segment results.

(2) Adjusted Gross profit excludes business acquisition purchase accounting adjustments and share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

(In millions, except share data)
(Unaudited)

	Three Months Ended		Nine Months Ended	
	October 1, 2022	October 2, 2021	October 1, 2022	October 2, 2021
Net income	$ 170	$ 199	$ 277	$ 646
Adjustments to Net sales[1]				
Purchase accounting adjustments	—	—	—	6
Total adjustments to Net sales	—	—	—	6
Adjustments to Cost of sales[1]				
Share-based compensation	3	2	5	6
Total adjustments to Cost of sales	3	2	5	6
Adjustments to Operating expenses[1]				
Amortization of intangible assets	39	29	107	81
Acquisition and integration costs	1	6	19	11
Settlement and related costs	—	—	372	—
Share-based compensation	28	20	70	64
Exit and restructuring costs	2	—	4	—
Total adjustments to Operating expenses	70	55	572	156
Adjustments to Other income (expense), net[1]				
Amortization of debt issuance costs and discounts	—	—	4	2
Investment gain	—	(1)	—	(1)
Foreign exchange loss / (gain)	—	4	(5)	3
Forward interest rate swap (gain) / loss	(39)	1	(84)	(4)
Total adjustments to Other income (expense), net	(39)	4	(85)	—
Income tax effect of adjustments[2]				
Reported income tax expense	52	29	42	96
Less: Adjusted income tax expense	(41)	(44)	(139)	(160)
Total adjustments to income tax	11	(15)	(97)	(64)
Total adjustments	45	46	395	104
Non-GAAP Net income	$ 215	$ 245	$ 672	$ 750
GAAP earnings per share				
Basic	$ 3.28	$ 3.72	$ 5.29	$ 12.08
Diluted	$ 3.26	$ 3.69	$ 5.25	$ 11.98
Non-GAAP earnings per share				
Basic	$ 4.15	$ 4.59	$ 12.82	$ 14.03
Diluted	$ 4.12	$ 4.55	$ 12.73	$ 13.91
Basic weighted average shares outstanding	51,834,236	53,418,055	52,387,838	53,449,239
Diluted weighted average and equivalent shares outstanding	52,157,852	53,866,559	52,756,631	53,911,813

1. Presented on a pre-tax basis.
2. Represents adjustments to GAAP income tax expense commensurate with pre-tax non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions), as well as adjustments to exclude the impacts of certain discrete income tax items and incorporate the anticipated annualized effects of current year tax planning.

GAAP to Non-GAAP EBITDA Reconciliation

(In millions)
(Unaudited)

	Three Months Ended		Nine Months Ended	
	October 1, 2022	October 2, 2021	October 1, 2022	October 2, 2021
Net income	$ 170	$ 199	$ 277	$ 646
Add back:				
Depreciation (excluding exit and restructuring)	16	18	51	54
Amortization of intangible assets	39	29	107	81
Total Other (income) expense, net	(20)	9	(50)	14
Income tax expense	52	29	42	96
EBITDA (Non-GAAP)	257	284	427	891
Adjustments to Net sales				
Purchase accounting adjustments	—	—	—	6
Total adjustments to Net sales	—	—	—	6
Adjustments to Cost of sales				
Share-based compensation	3	2	5	6
Total adjustments to Cost of sales	3	2	5	6
Adjustments to Operating expenses				
Acquisition and integration costs	1	6	19	11
Litigation settlement	—	—	372	—
Share-based compensation	28	20	70	64
Exit and restructuring costs	2	—	4	—
Total adjustments to Operating expenses	31	26	465	75
Total adjustments to EBITDA	34	28	470	87
Adjusted EBITDA (Non-GAAP)	$ 291	$ 312	$ 897	$ 978
Adjusted EBITDA % of Adjusted Net Sales	21.1 %	21.7 %	21.0 %	23.5 %

GAAP to Non-GAAP Free Cash Flow Reconciliation

(In millions)
(Unaudited)

	Nine Months Ended	
	October 1, 2022	October 2, 2021
Net cash provided by operating activities	$ 221	$ 836
Less: Purchases of property, plant and equipment	(51)	(38)
Free cash flow (Non-GAAP)[1]	$ 170	$ 798

(1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.

ZEBRA

About Zebra

Zebra (NASDAQ: ZBRA) empowers the front line of business in retail, manufacturing, transportation and logistics, healthcare, and other industries to achieve a performance edge. We deliver industry-tailored, end-to-end solutions that intelligently connect people, assets and data to help our customers make business-critical decisions.

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